

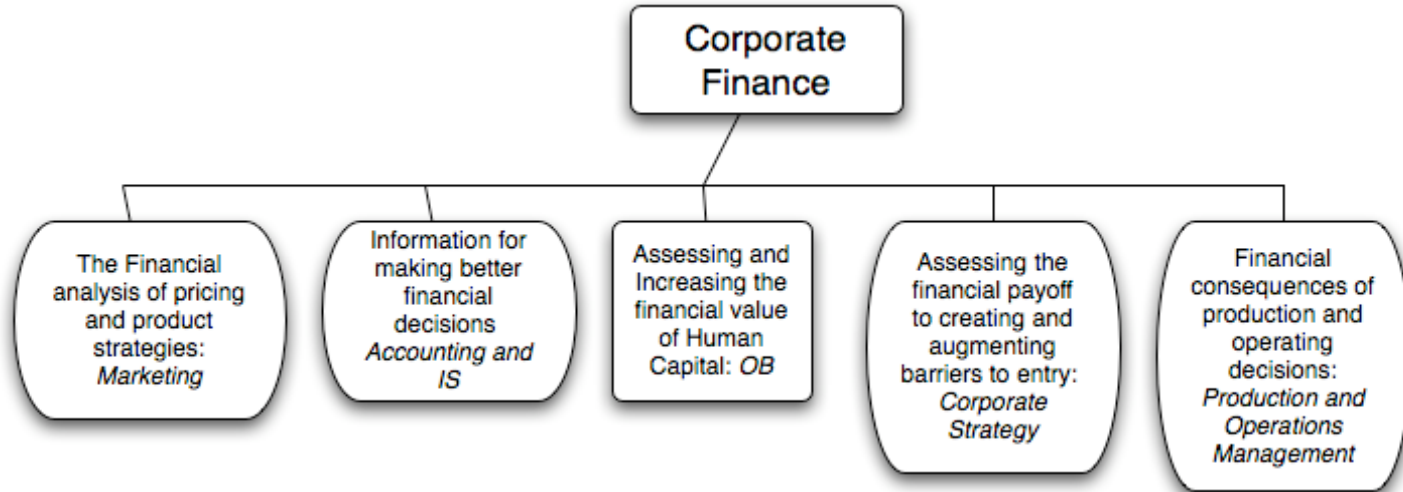
SESSION 1: CORPORATE FINANCE

WHAT IS IT?



WHAT IS CORPORATE FINANCE?

- Every decision that a business makes has financial implications, and any decision which affects the finances of a business is a corporate finance decision.
- Defined broadly, everything that a business does fits under the rubric of corporate finance.



OBJECTIVES

- To give you the capacity to understand the theory and apply, in real world situations, the techniques that have been developed in corporate finance.
 - Motto for class: If it cannot be applied, who cares?.
- To give you the big picture of corporate finance so that you can understand how things fit together.
 - Motto for class: You can forget the details, but don't miss the storyline.
- To show you that corporate finance is fun.
 - Motto for class: Are we having fun yet?

THE TRADITIONAL ACCOUNTING BALANCE SHEET

THE BALANCE SHEET

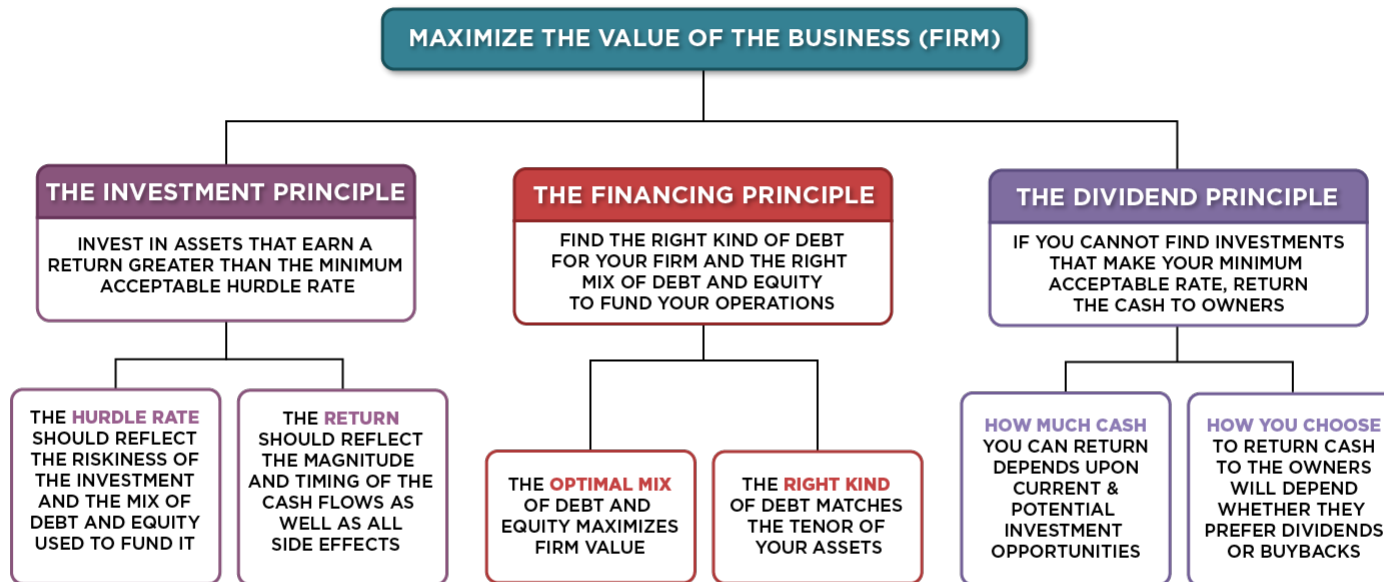
ASSETS		LIABILITIES	
LONG-LIVED REAL ASSETS	FIXED ASSETS	CURRENT LIABILITIES	SHORT-TERM LIABILITIES OF THE FIRM
SHORT-LIVED ASSETS	CURRENT ASSETS	DEBT	DEBT OBLIGATIONS
INVESTMENT IN SECURITIES & ASSETS OF OTHER FIRMS	FINANCIAL INVESTMENTS	OTHER LIABILITIES	OTHER LONG-TERM OBLIGATIONS
ASSETS WHICH ARE NOT PHYSICAL, LIKE PATENTS & TRADEMARKS	INTANGIBLE ASSETS	EQUITY	EQUITY INVESTMENT IN FIRM

THE FINANCIAL VIEW OF THE FIRM

THE FINANCIAL VIEW OF THE FIRM

ASSETS		LIABILITIES	
EXISTING INVESTMENTS GENERATE CASH FLOWS TODAY INCLUDING LONG (FIXED) & SHORT (WORKING CAPITAL) ASSETS	ASSETS IN PLACE	DEBT	CONTRACTUAL CLAIM ON CASH FLOWS LITTLE ROLE IN MANAGEMENT FIXED MATURITY TAX DEDUCTIBLE
EXPECTED VALUE THAT WILL BE CREATED BY FUTURE INVESTMENTS	GROWTH ASSETS	EQUITY	RESIDUAL CLAIM ON CASH FLOWS SIGNIFICANT ROLE IN MANAGEMENT PERPETUAL LIVES

FIRST PRINCIPLES & THE BIG PICTURE



THEME 1: CORPORATE FINANCE IS “COMMON SENSE”

- There is nothing earth shattering about any of the first principles that govern corporate finance. After all, arguing that taking investments that make 9% with funds that cost 10% to raise seems to be stating the obvious (the investment decision), as is noting that it is better to find a funding mix which costs 10% instead of 11% (the financing decision) or positing that if most of your investment opportunities generate returns less than your cost of funding, it is best to return the cash to the owners of the business and shrink the business.
- Shrewd business people, notwithstanding their lack of exposure to corporate finance theory, have always recognized these fundamentals and put them into practice.

THEME 2: CORPORATE FINANCE IS FOCUSED...

- It is the focus on maximizing the value of the business that gives corporate finance its focus. As a result of this singular objective, we can
 - Choose the “right” investment decision rule to use, given a menu of such rules.
 - Determine the “right” mix of debt and equity for a specific business
 - Examine the “right” amount of cash that should be returned to the owners of a business and the “right” amount to hold back as a cash balance.
- This certitude does come at a cost. To the extent that you accept the objective of maximizing firm value, everything in corporate finance makes complete sense. If you do not, nothing will.

THEME 3: THE FOCUS CHANGES ACROSS THE LIFE CYCLE...

		BALANCE SHEET	
	ASSETS	LIABILITIES	
\$15 BILLION	INVESTMENTS ALREADY MADE	DEBT	\$7 BILLION
\$3 BILLION	INVESTMENTS YET TO BE MADE	EQUITY	\$11 BILLION

		BALANCE SHEET	
	ASSETS	LIABILITIES	
\$0.25 BILLION	INVESTMENTS ALREADY MADE	DEBT	\$0.00 BILLION
13.35 BILLION	INVESTMENTS YET TO BE MADE	EQUITY	\$13.6 BILLION



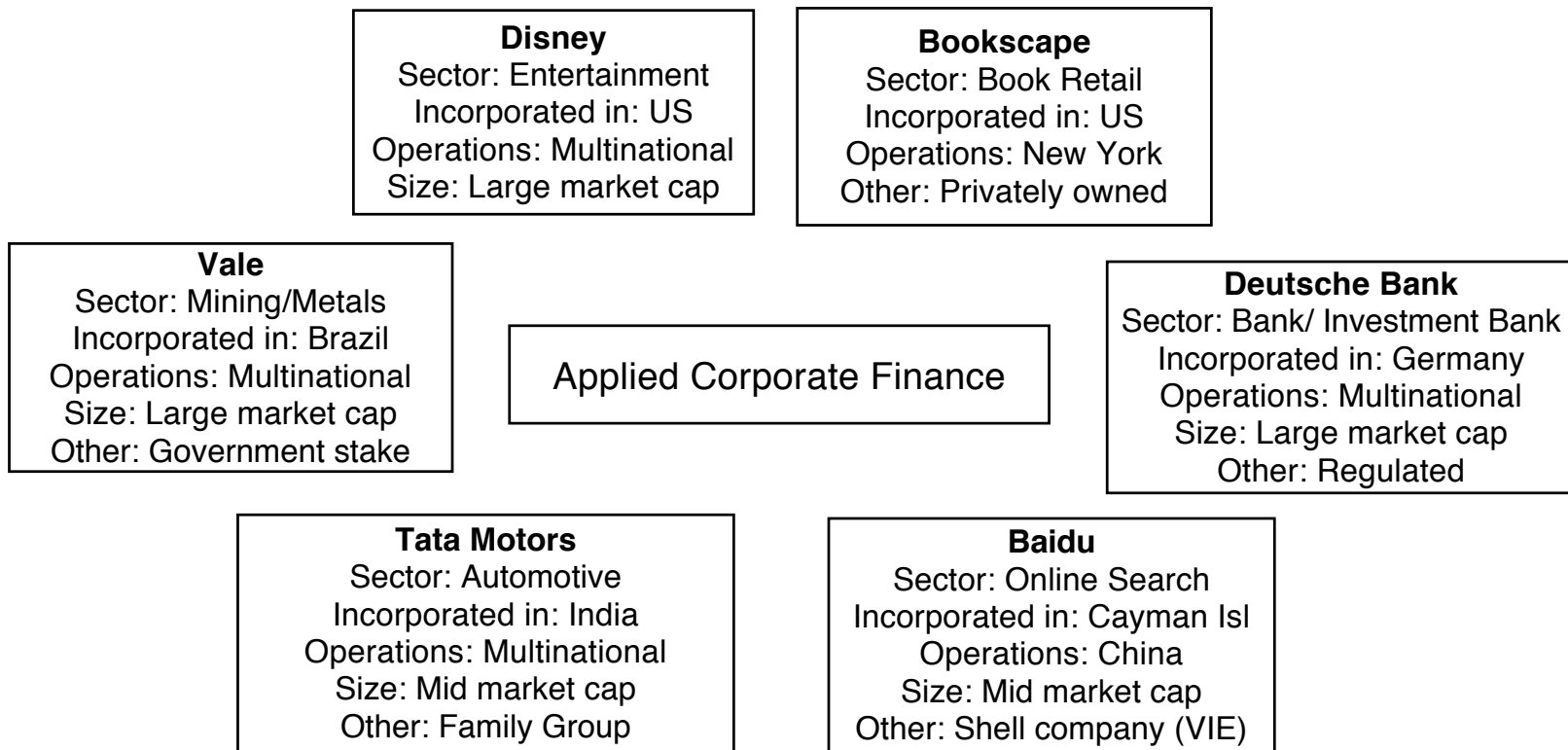
THEME 4: CORPORATE FINANCE IS UNIVERSAL...

- Every business, small or large, public or private, US or emerging market, has to make investment, financing and dividend decisions.
- The objective in corporate finance for all of these businesses remains the same: maximizing value.
- While the constraints and challenges that firms face can vary dramatically across firms, the first principles do not change.
 - Apply to both public and private companies, though they face different constraints.
 - Apply to firms in both developed and emerging markets

THEME 5: IF YOU VIOLATE 1ST PRINCIPLES, YOU WILL PAY!

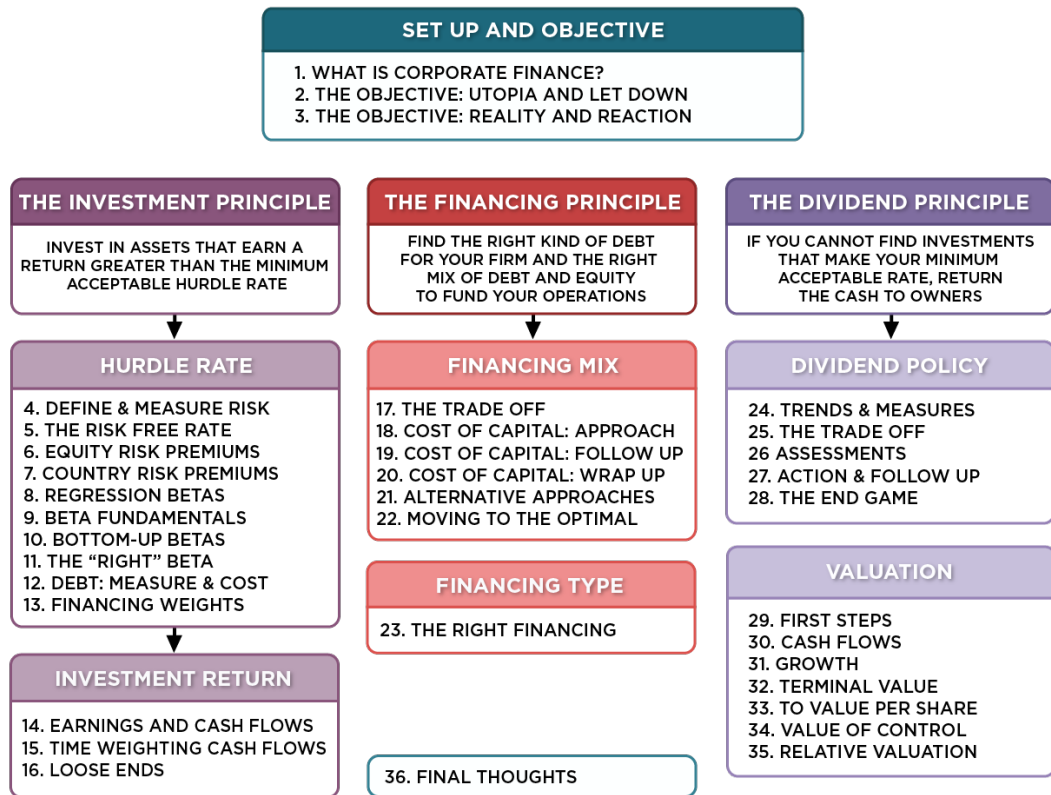
- There are some investors/analysts/managers who convince themselves that the first principles don't apply to them because of their superior education, standing or past successes, and then proceed to put into place strategies or schemes that violate first principles.
- Sooner or later, these strategies will blow up and create huge costs.
- Almost every corporate disaster or bubble has its origins in a violation of first principles.

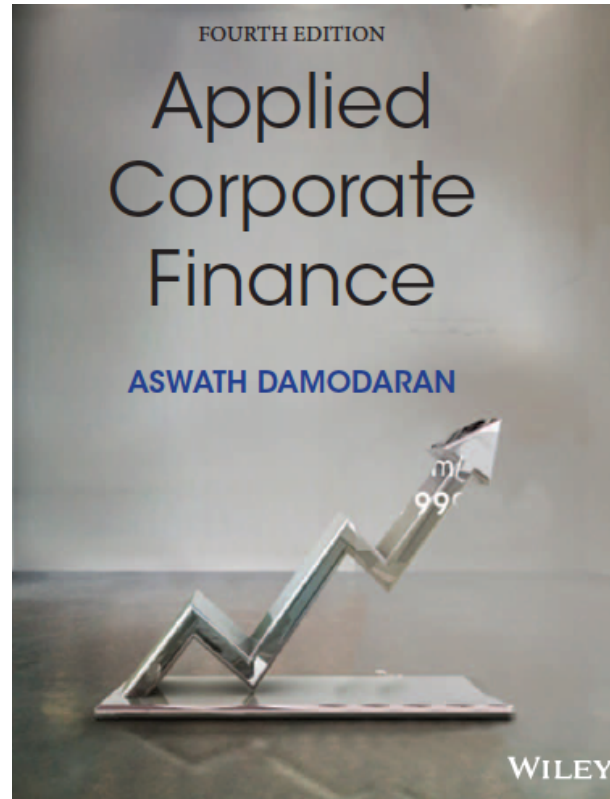
AND IT WILL BE APPLIED...



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WHAT IS IT?





**Optional:
Read
Chapter 1**